Indeed, because of the demand from international investors for AAA paper, securitization became focused on squeezing out the most AAA paper from an underlying package of mortgages; the lower quality securities issued against the initial package of mortgages were packaged together once again with similar securities from other packages, and a new range of securities, including a large quantity rated AAA, issued by this 'Collateralized Debt Obligation'.

The 'originate-to-securitize' process had the unintended consequence of reducing the due diligence undertaken by originators. Of course, originators could not completely ignore the true quality of borrowers since they were held responsible for initial defaults, but because house prices were rising steadily over this period, even this source of discipline weakened. If the buyer could not make even the nominal payments involved on the initial low mortgage teaser rates, the lender could repossess the house, sell it quickly in the hot market, and recoup any losses through the price appreciation. In the liquid housing market, so long as the buyer could scrawl X on the dotted line, she could own.

The slicing and dicing through repeated securitization of the original package of mortgages created very complicated securities. The problems in valuing these securities were not obvious when house prices were rising and defaults were few. But as the house prices stopped rising and defaults started increasing, the valuation of these securities became very complicated.

It was not entirely surprising that bad investments would be made in the housing boom. What was surprising was that the originators of these complex securities, the financial institutions, who should have understood the deterioration of the underlying quality of mortgages, held on to so many of the mortgage-backed securities (MBS) in their